

IFRS 15 Revenue — Worked Examples & Discussion Points

Diamante tender sales · the calculations you may be asked to do WITH numbers, plus the discussion points to hit. Numbers are illustrative — swap in the day's figures.

THE 5-STEP MODEL IN ONE LINE (SAY THIS FIRST, EVERY TIME)

1 Contract (approved after the blind auction) → **2 Performance obligation** (supply the diamonds — one PO) → **3 Transaction price** (winning bid, adjusted for financing / variable / forex) → **4 Allocate** (all to the one PO) → **5 Recognise** when CONTROL passes (point in time — weigh the 5 indicators). Golden rule: revenue follows **control** (IFRS 15.33), not risks and rewards alone.

1 · When does control pass? (the big discussion)

IFRS 15.35 & .38

In plain English: management books revenue on the tender-AWARD date; you must test whether control really passes then, or later on delivery/collection.

STEP A — RULE OUT “OVER TIME” (ALL 3 FAIL)

- The buyer does not consume the diamonds as they are mined, does not control them during extraction, and the diamonds have alternative use (they can be re-tendered) with no right to payment for progress → so it is a **point in time**, and the only question is WHICH point.

STEP B — WEIGH THE 5 CONTROL INDICATORS (AWARD VS COLLECTION)

IFRS 15.38 indicator	On tender award?	On delivery/collection?
Present right to payment	Weak — sale can still be voided; only “probable collection”	Stronger — unconditional once collected
Legal title	Usually not yet	Passes on export/collection documents
Physical possession	No — Diamante still holds the parcel	Yes — handed over
Risks & rewards	No — Diamante bears loss in storage	Yes — buyer bears risk
Customer acceptance	Part — buyer viewed before bidding	Finalised on inspection at collection

DISCUSSION POINTS TO HIT

- Management defends only 1 of the 5 indicators (probable collection); the other four point LATER → award is likely premature.
- Conclude control passes on **delivery/collection** unless the contract terms prove otherwise.
- Impact: booking on award overstates revenue, profit and receivables, and creates a 30 June cut-off risk.
- Ethics link: losses + refinancing give management a motive to prefer the earlier date → apply professional scepticism.

IAC EXAMPLE TO CITE

FOB shipping point → title & risk pass at the factory → revenue on **dispatch**. FOB destination → risk stays with the seller → revenue on **delivery**. Machine needing installation with a substantive acceptance clause → control only on **acceptance**, not delivery. Use the export terms Diamante is given to pin the exact date.

2 · Transaction price — significant financing component (deferred payment)

IFRS 15.60–65

In plain English: if the buyer pays much later, part of the price is really interest, so you discount it.

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

Winning bid = R100m, payable in full in 18 months. Buyer's borrowing rate = 12% p.a.

$$PV = 100 \div (1.12)^{1.5} = 100 \div 1.1853 = \mathbf{R84.4m}$$

→ Recognise **revenue of R84.4m** when control passes; the remaining **R15.6m is interest income** recognised over the 18 months as the discount unwinds.

At control:	Dr Receivable 84.4	Cr Revenue 84.4
Over time:	Dr Receivable 15.6	Cr Interest income 15.6 (as it unwinds)

DISCUSSION POINTS TO HIT

- Only apply this if the delay is significant (rule of thumb >12 months); short trade terms are ignored.
- Splitting out interest keeps revenue “clean” — it stops a financing benefit inflating reported revenue.
- If the rate is not given, state a reasonable assumption (the buyer's incremental borrowing rate) and use it.

3 · Variable consideration (profit-share / contingent price)

IFRS 15.50–59

In plain English: if part of the price depends on a future event, estimate it — but only include what is highly likely to stick.

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

Rare stone: fixed R80m now, PLUS 10% of the polished resale price if it later sells above \$Z.

Estimate the variable part – two ways:

- Expected value: 60% chance of R0 + 40% chance of R20m = $0.40 \times 20 = \text{R}8\text{m}$
- Most likely amount: the single most likely outcome = **R0** (a binary “hits the threshold or not”)
 - Apply the **constraint**: include variable consideration only to the extent a significant reversal is highly probable NOT to occur. Because the resale is uncertain, likely recognise **R80m now** and the contingent part later once it becomes highly probable.

DISCUSSION POINTS TO HIT

- Use **expected value** for a range of outcomes; **most likely amount** for a single binary outcome.
- The constraint is the key judgement — do not book uncertain upside early (this is where management bias creeps in).
- Reassess at each reporting date and update the estimate.

4 · Principal vs agent (rare stone via an auction house)

IFRS 15.B34–B38

In plain English: if Diamante controls the stone until it sells, show the **FULL** price as revenue (principal). If it only arranges the sale, show just its commission (agent).

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

A rare diamond sells for R100m through an auction house; commission = R10m.

If **Diamante is the PRINCIPAL** (it owns/controls the stone until sold) → revenue = gross R100m:

Dr Cash 90 Dr Commission expense 10 Cr Revenue 100

If **Diamante is an AGENT** (only facilitates) → revenue = net commission only:

Dr Cash 100 Cr Payable to owner 90 Cr Commission revenue 10

→ For Diamante's own diamonds the conclusion is **principal** (it controls the stone, bears inventory risk, sets the reserve price) → gross R100m.

DISCUSSION POINTS TO HIT (IFRS 15.B37 TESTS)

- Who controls the good before transfer? Who bears inventory risk? Who has pricing discretion? Who fulfils the sale?
- For normal Diamante tenders and its own stones → principal (gross). Only if the house takes control/title → agent (net).
- The presentation matters hugely: gross vs net changes reported revenue by the full sale value, not just the margin.

5 · Bill-and-hold + year-end cut-off

IFRS 15.B79–B82

In plain English: a tender is won before 30 June but the diamonds are still in Diamante's vault — can you book the revenue yet?

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

Tender of R50m awarded 28 June 2026; diamonds collected 10 July 2026 (after year-end).

Apply the 4 criteria (all must be met to recognise before delivery):

- (a) substantive reason for the hold (customer requested it — not a Diamante logistics delay);
- (b) the parcel is separately identified as the customer's;
- (c) it is ready for immediate transfer;
- (d) Diamante cannot use it or redirect it to another buyer.

→ If **all 4 met**: control passed on 28 June → recognise R50m in FY2026 (and treat storage as a separate service).

→ If **any fail**: control has NOT passed → defer to FY2027 → cut-off adjustment:

Dr Revenue 50 Cr Contract liability / deferred revenue 50

DISCUSSION POINTS TO HIT

- The reason for the hold is decisive — a customer request passes; a Diamante export/logistics delay fails.
- Holding the diamonds is NOT, by itself, proof control transferred (compare consignment stock — you hold it but don't control it).
- Auctions near 30 June are the classic cut-off risk — check award date vs delivery date for each.

6 · Forex on a USD tender

IAS 21

WORKED EXAMPLE (ILLUSTRATIVE NUMBERS)

Bid = US\$6m. Control passes 30 June at spot R18.50/\$ → revenue = $6 \times 18.50 = \text{R}111.0\text{m}$.

If wrongly booked at the award-date rate R18.00/\$ → R108.0m → revenue understated by **R3.0m**.

→ Translate at the spot rate on the date control transfers; any later movement to cash is a separate forex gain/loss.

DISCUSSION POINT TO HIT

- The forex date is tied to your control conclusion in section 1 — using the wrong control date also uses the wrong exchange rate, doubling the error.

Illustrative worked examples for Diamante tender revenue under IFRS 15; swap in the figures given on the day. Pair this with your "Revenue Q1–Q3 Frameworks" sheet for the answer structure and on-the-day directions.